

EQUITY RESEARCH · COMPANY DEEP DIVE

Meta Platforms, Inc. (META.US)

HOLD

Composite · Valuation: OVERWEIGHT
Blended Target: \$622.25
Implied upside: +13.1%

Communication Services · Internet Content & Information

Large Cap (>\$200B) · Report Date: June 28, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-06-28

Price (Jun): \$550.25

INVESTMENT HIGHLIGHTS

- **OVERWEIGHT** — blended target \$622.25 (+13.1% vs \$550.25); Comps 100% valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

COMPOSITE INVESTMENT SIGNAL

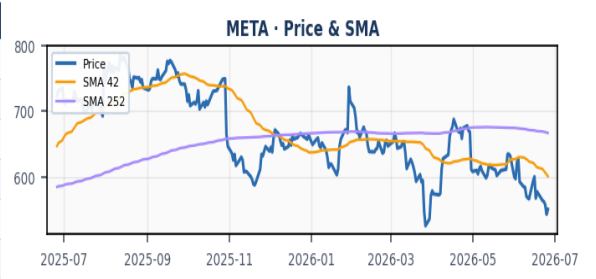
Composite: HOLD (score +0.11, confluence 50%) · TA: BEARISH · Quant: NEGATIVE · FSA: Strong. Solid financial statement profile.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Meta Platforms, Inc. (META) — Communication Services. Meta Platforms, Inc. engages in the development of products that enable people to connect and share with friends and family through mobile devices, personal... **OVERWEIGHT** rating; blended target \$622.25. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & PRICE TREND

Item	Value	Item	Value
Market Cap	\$1.40T	Shares Out.	2196.0M
52-Week Range	\$520.26 – \$796.25	P/E (TTM)	20.0x
P/B	5.7x	Beta	1.23
Avg Volume	17.09M	Analyst Rec.	Strong_Buy
Revenue (TTM)	\$214.96B	Rev Growth	+33.1%
Op. Margin	40.6%	FCF (TTM)	\$46.11B



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	164,501	200,966	267,486	331,468	389,455
Revenue Growth (%)	N/A	22.2%	33.1%	23.9%	17.5%
Net Income (\$M)	62,360	60,458	80,470	99,718	117,163
Net Income Growth (%)	N/A	-3.1%	33.1%	23.9%	17.5%
Gross Margin (%)	81.7%	82.0%	81.9%	81.9%	81.9%
Net Margin (%)	37.9%	30.1%	30.1%	30.1%	30.1%
ROE (%)	34.1%	27.8%	37.0%	41.6%	46.6%
EPS (\$)	28.40	27.53	36.64	45.41	53.35
Book Value / Share (\$)	83.17	98.92	98.92	109.06	114.52
P/E (x)	19.38	19.99	15.02	12.12	10.31
P/B (x)	6.62	5.56	5.56	5.05	4.80
Dividend Yield (%)	38.0%	38.0%	38.0%	38.0%	38.0%

FINANCIAL STATEMENT ANALYSIS

Financial statement profile: Strong (score +0.40). Strengths: Revenue CAGR 19.9% (3Y); Current ratio 2.60x; Conservative balance sheet. Risks: Operating margin deteriorating. 3Y projection: ~25.0% revenue growth; Y3 revenue \$419.85B.

Metric	Value	Assessment
FSA Health Score	+0.40	Strong
Revenue CAGR (3Y)	19.9%	
Net Income CAGR (3Y)	37.6%	
Gross Margin Trend	Stable	
Operating Margin Trend	Deteriorating	
Current Ratio	2.60x	Liquidity
Debt / Equity	36%	Leverage
ROE	32.9%	Profitability
FCF / Net Income	0.76x	Earnings quality
Proj. Revenue (Y1 / Y3)	\$268.70B / \$419.85B	@25.0%
Proj. Net Income (Y1 / Y3)	\$86.22B / \$134.72B	Margin × (1–tax)

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$600.80	Short-term trend	12m Momentum	-24.0%	
SMA (252d)	\$667.03	Long-term trend	3m Momentum	+4.8%	
RSI (14d)	35.3	Momentum oscillator	Ann. Volatility	44.2%	
Trend	Bearish		Sharpe Ratio	0.12	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-76.7%	
Death Cross (20d)	No		Rel. Strength vs SPY	-26.4%	
TA Signal	BEARISH	SMA42 below SMA252; SMA42=\$600.80, SMA252=\$667.03	Quant Score	-0.70	NEGATIVE
			SMA Backtest (ann.)	38.2%	B&H; 34.7%

INDUSTRY CONTEXT

Industry Snapshot — Communication Services / Internet Content & Information. Meta Platforms, Inc. engages in the development of products that enable people to connect and share with friends and family through mobile devices, personal computers, virtual reality (VR) headsets, and AI glasses in the United States, Canada, Europe, Asia-Pacific, and internationally. It operates through two...

Trends: Strong top-line growth (33.1% YoY); High operating leverage (40.6% margin); Above-market volatility (β=1.23)

Risks: Standard sector cyclicality and macro exposure

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VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$473.70	-13.9%	—	Not in blend
Profile template weights	—	—	—	High-growth technology (Comps-anchored; DCF excluded when distorted): Comps 85%, Analyst 15%
Comps — 52-week range anchor	\$622.25	+13.1%	—	Tri-mean of 52w high, low, and current (large cap)
Comps — EV/EBITDA (peer median)	\$777.75	+41.3%	—	Peer median 16.6x
Comps — P/S (peer median)	\$410.73	-25.4%	—	Peer median P/S 4.2x
Comps — Blended (median of multiples + uplift anchors)	\$622.25	+13.1%	100%	Included in blend
Analyst consensus (Yahoo Finance)	\$827.32	+50.4%	0% (excluded)	Analyst target >50% above price (likely stale)
Blended target (weighted)	\$622.25	+13.1%	100%	Comps 100%
Audit (≥30% vs price)	—	—	—	Triggered (lupside ≥ 30%)

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	10.76%
Terminal g	4.00%
FCFE growth	12.00%
Base FCFE	\$46.11B
PV explicit (5Y)	\$250.91B
PV terminal	\$789.37B
Equity value (adj.)	\$1.04T
Implied price	\$473.70
vs. current	-13.9%

INDUSTRY & COMPETITIVE LANDSCAPE

Industry Overview

Meta Platforms, Inc. engages in the development of products that enable people to connect and share with friends and family through mobile devices, personal computers, virtual reality (VR) headsets, and AI glasses in the United States, Canada, Europe, Asia-Pacific, and...

Key Trends

- Strong top-line growth (33.1% YoY)
- High operating leverage (40.6% margin)
- Above-market volatility (β=1.23)
- Sector: Communication Services | Industry: Internet Content & Information

Risk Factors

- Standard sector cyclicalty and macro exposure

PEER COMPARISON

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
GOOGL	Alphabet Inc.	\$4.12T	25.7x	25.1x	37.9%	+21.8%
NFLX	Netflix, Inc.	\$310.80B	23.8x	22.1x	28.5%	+16.2%
DIS	Walt Disney Company (T	\$171.55B	15.8x	11.1x	11.5%	+6.5%
SNAP	Snap Inc.	\$7.31B	N/A	-35.9x	-6.7%	+12.1%
META*	Meta Platforms, Inc.	\$1.40T	20.0x	12.8x	32.8%	+33.1%

* Subject company. Trades at a discount on p/e vs peers; stronger profitability than peers. Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.